In 1674, Shivaji was successful in his revolt against the Sultan of Bijapur. He carved out a kingdom with Raigad as his capital and was crowned king of Satara. The Bijapur Sultanate was finally defeated and annexed by the Mughal Empire in 1686. By the time Shivaji died in 1680, he had 100,000 soldiers and nearly 300 hilltop forts protecting the nation he'd founded.

Fighting between the Marathas and the Mughals over the next quarter century resulted in an estimated 3 to 4 million deaths, mostly related to starvation from ruined roads and trading routes interrupted by warfare. Having lost so much in terms of basic resources, human lives, and wasted infrastructure, the Mughal Empire began to fracture at the edges. In the north, the foundations of the Sikh Empire emerged, and in the west, the Maratha Empire grew under the rule of a succession of kings and, eventually, an appointed line of prime ministers, known as the peshwas.

Peshwa Baji Rao I served from 1720 to 1740, and during that time, his administration helped to sack the Mughal city of Delhi. With their capital ransacked and much of their empire occupied by enemy troops, the Mughals finally ceded to their attackers and opted to make a peace treaty. The result was an almost total incapacitation of the Mughals, while the Maratha Empire's new borders stretched entirely from west to east across India.

As the burgeoning empire swelled in size, the peshwas had more and more difficulty administrating the growing population. The prime ministers gave up much of their true power in favor of leaving local governors in charge. Because of this shared governance, the Maratha Empire is referred to by many historians as the Maratha Confederacy after the mid-18$^{th}$ century. It is also a term often used by the British, who had just established their own colonial claim on India via the British East India Company.